Quillwood Credit Partners
Origination and credit | Internal working paper

The Wharf Residences Construction Facility

Investment Committee Paper: A$61.0M senior secured construction facility, East Fremantle WA

Prepared for the Quillwood Credit Partners Investment Committee

Prepared by Quillwood Credit Partners, Real Estate Credit

Version 1.0, 14 February 2024

Strictly confidential

Reference: QCP-IC-2024-0214-WHARF

Date: 14 February 2024

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	The Wharf Residences Pty Ltd
ABN	18 209 165 833
Sponsor	Wharfside Developments Pty Ltd and related entities (Wharfside Group)
Registered office	Level 5, 28 Mouat Street, Fremantle WA 6160
Property	18 Riverside Road, East Fremantle WA 6158
Facility	Senior secured construction facility, A$61.0M, 27 months
Date of paper	14 February 2024
Version	1.0 (for Investment Committee decision)
Prepared by	Quillwood Credit Partners
Prepared for	Investment Committee

Transaction details

1. Executive Summary

Quillwood Credit Partners (Quillwood) has been asked to provide a senior secured construction facility of A$61.0M to The Wharf Residences Pty Ltd (the Borrower), a single-purpose vehicle established by Wharfside Developments Pty Ltd (Wharfside Developments) to deliver a 96-apartment, six-storey residential building at 18 Riverside Road, East Fremantle WA 6158. The site is 4,200 square metres, river-fronting, and was acquired in March 2022. The facility is a cost-to-complete construction loan with a separate allowance for the capitalisation of interest and fees, and is to be repaid from net apartment settlement proceeds following practical completion, forecast for the first half of 2026.

The project has a total development cost (TDC) of A$100.0M and a gross realisation value (GRV) of A$124.8M. Sponsor equity of A$39.0M, being 39.0% of TDC, will be applied before the first facility drawdown. The facility therefore represents a loan to cost ratio (LTC) of 61.0% and a loan to GRV ratio (LVR) of 48.9%. Construction is under a fixed-price design and construct contract of A$74.6M with Corvale Construction Pty Ltd (Corvale), with a contract period of 22 months.

Presales stand at 60 of 96 apartments, being 62.5% of apartments and 62.5% of GRV, for a contracted value of A$78.0M. Deposits of A$7.8M (10.0%) are held in the solicitor's trust account. Contracted presales cover the facility limit 1.28 times on a gross basis, and 1.25 times after an allowance of 2.5% for selling and settlement costs. Sales of approximately A$62.6M gross (about 50% of GRV) are needed to repay the facility in full, so the presales alone exceed the repayment requirement.

Key strengths

- Conservative leverage: LVR of 48.9% on the sponsor's GRV, with A$39.0M of cash equity ranking behind and funded first.
- Presales of A$78.0M exceed the facility limit by A$17.0M, with 10.0% deposits held in trust.
- Fixed-price design and construct contract with an established builder, subject to Quillwood's completion of builder and contract due diligence.
- Forecast net profit before tax of A$21.7M (21.7% on TDC, 17.4% on GRV), which can absorb a GRV fall of about 17.8% before sponsor equity is impaired.
- Strong pricing for the risk: 1-month BBSW plus 6.25% per annum, a 1.75% establishment fee, a 1.00% per annum line fee on undrawn commitments and a 0.50% exit fee if repaid after maturity.

Key concerns

- The A$124.8M GRV assumes an average price of A$1.30M per apartment, which is above recent East Fremantle apartment evidence. The independent valuation is critical to this proposal.
- 36 apartments (A$46.8M, 37.5% of GRV) remain unsold and the market for them will be tested during construction.
- The finance cost budget of A$5.7M has limited headroom if BBSW remains elevated or the programme extends.

- Wharfside Developments has two other active projects, which limits its capacity to provide further equity if costs overrun.
- River-fronting basement excavation carries acid sulfate soil and groundwater compliance risk under Department of Water and Environmental Regulation conditions.

Third party reports (valuation, quantity surveyor, sponsor financial statements and management accounts) are not yet in hand. The recommendation in this paper is therefore an approval in principle, conditional on those reports being satisfactory to Quillwood. Section 11 sets out the timetable.

2. Recommendation

The deal team recommends that the Investment Committee approve, in principle, a senior secured construction facility to The Wharf Residences Pty Ltd on the following basis, subject to the conditions precedent in Section 10 and the satisfactory completion of the third party reports listed in Section 11.

Facility limit	A$61.0M (Tranche A cost-to-complete A$55.3M; Tranche B interest and fee capitalisation A$5.7M)
Tenor	27 months from financial close, with indicative maturity in September 2026
Margin	1-month BBSW plus 6.25% per annum
Establishment fee	1.75% of the facility limit (A$1.07M)
Line fee	1.00% per annum on undrawn commitments
Exit fee	0.50% of the amount repaid after the scheduled maturity date
Security	First ranking mortgage over the site, general security over the Borrower, guarantees and related security (Section 6)
Indicative risk grade	Grade 6 of 10 (moderate to elevated), typical for a presold mid-rise residential development

Recommended terms (indicative and subject to credit approval)

The deal team seeks the following delegations from the Committee: authority to issue an indicative term sheet once the valuation and quantity surveyor reports have been received and found to support the terms above; authority to negotiate documentation within those terms; and a requirement that any material variation (including a facility limit above A$61.0M, an LVR above 55% on the as-complete valuation, or a reduction in the presale cover below 1.20 times) be returned to the Committee.

3. The Transaction

3.1 Purpose and structure

The facility will fund hard construction costs, professional fees, approvals and capitalised finance costs for the Wharf Residences project. Land and initial costs have been funded by sponsor equity. The facility is divided into two tranches:

- Tranche A (A$55.3M): cost-to-complete, drawn monthly against progress claims certified by Quillwood's appointed quantity surveyor, Pellegrini Dunmore Quantity Surveyors, and subject to the cost-to-complete test.
- Tranche B (A$5.7M): an allowance for the capitalisation of interest, the establishment fee and the line fee. It cannot be used for project costs.

The structure ensures that the full A$39.0M of sponsor equity is spent first. Of that amount, A$14.5M relates to land (carried in the budget at A$14.5M against the March 2022 purchase price of A$13.2M, the difference being acquisition and holding costs per the sponsor's budget) and A$24.5M relates to other project costs incurred or to be incurred before the first drawdown. The quantity surveyor will verify the equity spent as a condition of first drawdown.

3.2 Sources and uses

Uses	A$M	% of TDC
Land	14.5	14.5%
Construction contract (Corvale)	74.6	74.6%
Finance costs	5.7	5.7%
Professional fees, approvals, marketing and contingency	5.2	5.2%
Total development cost	**100.0**	**100.0%**

Table 1: Uses of funds

Sources	A$M	% of TDC
Sponsor equity (spent first)	39.0	39.0%
Facility Tranche A (cost-to-complete)	55.3	55.3%
Facility Tranche B (capitalisation allowance)	5.7	5.7%
Total sources	**100.0**	**100.0%**

Table 2: Sources of funds

3.3 Pricing and fees

The indicative pricing is 1-month BBSW plus 6.25% per annum. On a 1-month BBSW of approximately 4.35% at the date of this paper, the all-in interest rate is approximately 10.60% per annum. The establishment fee of 1.75% equals A$1.07M on the A$61.0M limit. The line fee of 1.00% per annum is charged on undrawn commitments and falls as the facility is drawn. The exit fee of 0.50% applies only to amounts repaid after the scheduled maturity date, and on the full facility would equal approximately A$0.31M. The exit fee is designed to discourage delay rather than to generate income.

3.4 Drawdown and repayment profile

First drawdown is targeted for June 2024, with construction of 22 months implying practical completion in April 2026. Settlements are expected to follow in the second quarter of 2026, leaving about five months between practical completion and the scheduled maturity in September 2026. Net settlement proceeds will be applied 100% to the facility until it is repaid in full. Based on contracted presales alone, the facility would be fully repaid once approximately 49 of the 60 presold apartments have settled at their average contract price.

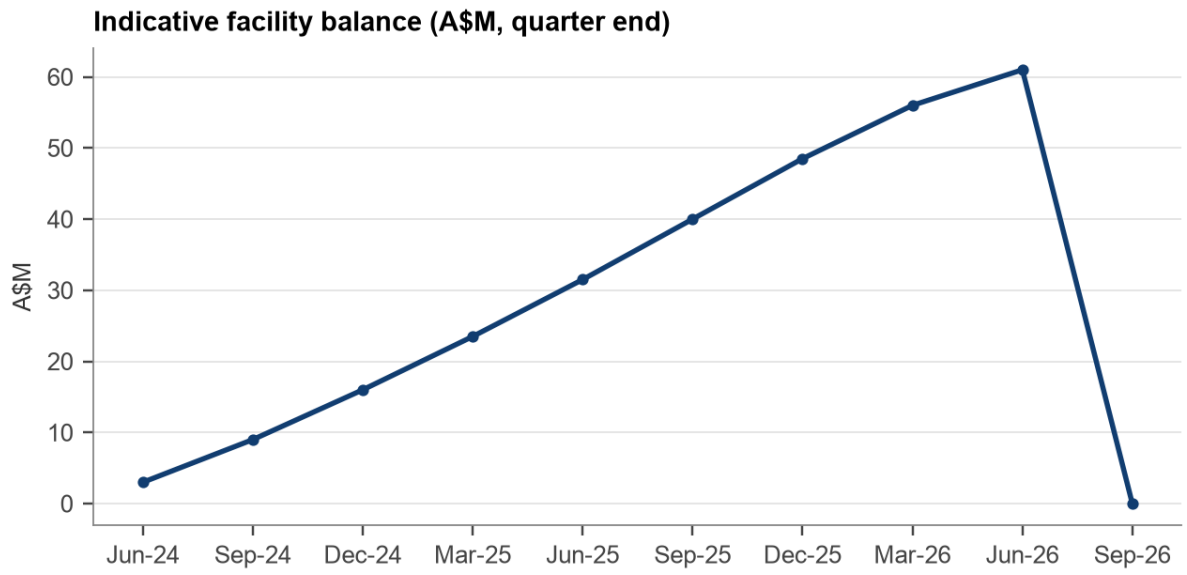


Figure 1: Indicative drawdown and repayment profile. Quillwood estimate based on the sponsor's programme; to be replaced by the quantity surveyor's cash flow once received.

The profile is back-weighted because equity is spent first and because construction progress claims are typically heaviest in the middle of the programme. The balance is shown reaching the A$61.0M limit around practical completion and being cleared by settlements before the September 2026 maturity. The line is indicative and should not be read as a forecast of timing for any individual settlement.

4. Borrower and Sponsor

4.1 The Borrower

The Wharf Residences Pty Ltd (ABN 18 209 165 833) is a special purpose vehicle with its registered office at Level 5, 28 Mouat Street, Fremantle WA 6160, which is also the Wharfside Group head office. The Borrower owns the East Fremantle site, having taken a transfer from the Wharfside-owned entity that acquired it on 17 March 2022 for A$13.2M. It has no operating revenue before settlement, and its only business is the delivery and sale of the project. The Borrower will be restricted from incurring other financial indebtedness or conducting other business.

4.2 Sponsor and management

Wharfside Developments Pty Ltd and related entities (the Wharfside Group) are a Fremantle-based residential developer. The Group currently has two other active projects in addition to the Wharf Residences. The Borrower's directors are:

- Callum R. Whitford, Executive Director and Chief Executive Officer of Wharfside Developments.
- Priya Anand, Director and Chief Financial Officer of Wharfside Developments.
- Graham T. Ostrowski, Non-executive Director, independent of Wharfside management.

The presence of an independent non-executive director on the Borrower's board is a positive for governance. Quillwood will require that Mr Ostrowski be a signatory to the monthly compliance certificate, and that any change of directors or of control of the Borrower be subject to Quillwood's consent.

4.3 Advisers

Role	Firm
Builder	Corvale Construction Pty Ltd
Valuer	Kinross Hale Valuers (Perth)
Quantity surveyor (lender's)	Pellegrini Dunmore Quantity Surveyors
Auditor	Marlowe Tan Chartered Accountants
Borrower's legal adviser	Ashgrove Whitlam Lawyers
Sales agent	Harbourline Property Group
Financial adviser to sponsor	Tarrant & Lowe Capital Advisory

Table 3: Transaction parties and advisers

4.4 Sponsor track record and financial capacity

The Information Memorandum dated 12 February 2024 sets out the Group's completed projects. Quillwood has not yet verified delivery history, sale outcomes or the Group's balance sheet. The Group's financial statements are expected on 23 February 2024 and management accounts on 20 March 2024. Because Wharfside has two other active projects, a key part of our diligence is the Group's liquidity and its commitments to those projects, as the sponsor is the only source of additional equity if costs overrun. Quillwood will seek a guarantee and indemnity from Wharfside Developments Pty Ltd and a cost overrun and completion undertaking. Personal guarantees from Mr Whitford and Ms Anand will be requested, and the outcome of that negotiation will be reported to the Committee.

5. The Project

5.1 Description

The project is a six-storey residential building of 96 apartments, in a mix of one, two and three bedroom configurations, over two levels of basement parking providing 138 car bays (about 1.44 bays per apartment). Communal facilities include a rooftop terrace and a boat-owner storage area. Gross floor area is approximately 12,650 square metres and net saleable area (NSA) approximately 8,900 square metres, an average of about 93 square metres per apartment. The site has a river frontage and the product is aimed at owner-occupiers and investors.

Metric	Value
Apartments	96
Site area	4,200 sqm
Gross floor area	12,650 sqm
Net saleable area	8,900 sqm
Car bays	138
TDC per sqm of GFA	A$7,905
Construction cost per sqm of GFA	A$5,897
Average GRV per apartment	A$1.30M
Average GRV per sqm of NSA	A$14,022
Facility per apartment	A$0.64M

Table 4: Project metrics (derived from sponsor figures)

5.2 Approvals and programme

Development approval for a 96-unit, six-storey residential building was granted by the Metropolitan Joint Development Assessment Panel on 24 August 2023. Quillwood will review the approval conditions and any pending conditions, including those relating to the Department of Water and Environmental Regulation, before first drawdown. Construction is expected to start in mid 2024 with first drawdown in June 2024. The construction period is 22 months, giving practical completion in April 2026, within the first half of 2026 as forecast.

5.3 Construction contract

Corvale is engaged under a fixed-price design and construct contract of A$74.6M, equal to 74.6% of TDC. A fixed price places the risk of cost escalation on the builder, but only if the builder remains solvent and the contract is sound. Quillwood's diligence will cover the contract terms (liquidated damages, extension of time provisions, provisional sums, variations and the security package), Corvale's financial position and capacity, and its other commitments. We will require unconditional security from Corvale of not less than 10% of the contract sum (A$7.46M), in the form of bank guarantees or insurance bonds, a step-in and direct deed with Quillwood, and collateral warranties from the principal consultants.

5.4 Sales

The sales campaign was launched on 4 November 2023 through the onsite display suite, with Harbourline Property Group as sales agent. Twenty-four contracts were exchanged in the first eight weeks. The Information Memorandum reports 60 of 96 apartments presold (62.5%) with the sales agent's schedule showing exchange of all 60 contracts by 29 February 2024. Presales are therefore a condition precedent, to be evidenced by a solicitor's certificate and trust account statements. The 60 presales total A$78.0M, with A$7.8M of deposits (10.0%) held in the solicitor's trust account. The 36 remaining apartments represent A$46.8M of GRV. Quillwood will review the presale contracts for sunset dates, finance clauses, buyer concentration, foreign purchaser status and the presence of investor buyers who might struggle to obtain mortgage finance on settlement.

6. Security

6.1 Security package

- First ranking registered mortgage over 18 Riverside Road, East Fremantle WA 6158.
- General security agreement over all present and after-acquired property of the Borrower, registered on the Personal Property Securities Register.
- Assignment of the building contract, the consultant agreements, the presale contracts and all rights to deposits and settlement proceeds, with a direct deed with Corvale.
- Collateral warranties and reliance letters from the architect, structural engineer and other key consultants.
- Guarantee and indemnity from Wharfside Developments Pty Ltd, together with a cost overrun and completion undertaking. Personal guarantees from the executive directors are requested.
- Subordination of all sponsor and related party loans and an assignment of the Borrower's rights under the project documents.
- Insurances noted: contract works, public liability, professional indemnity and, when required, home warranty insurance, with Quillwood noted as first mortgagee.

6.2 Valuation and loan to value

Kinross Hale Valuers (Perth) has been instructed to provide a valuation on an as-is and as-if-complete basis, due on 8 March 2024. The LVR of 48.9% in this paper is calculated as the facility limit of A$61.0M over the sponsor's GRV of A$124.8M, and is not yet supported by independent evidence. The LTC of 61.0% is calculated on the sponsor's TDC of A$100.0M, to be verified by the quantity surveyor. The land is carried at A$14.5M. We note the sponsor's GRV implies an average price of A$1.30M per apartment (A$14,022 per sqm of NSA), above recent East Fremantle apartment evidence. A lower as-complete value will reduce headroom. As a guide, the facility would remain at or below 55% of value if the as-complete valuation was not less than A$110.9M, a 11.1% reduction from the sponsor's GRV. If the valuation is below that figure, the deal will be returned to the Committee.

6.3 Release price and application of proceeds

All net sale proceeds will be paid to a collection account controlled by Quillwood and applied to the facility until repaid in full. Unsold apartments may only be sold at prices not less than 95% of the valuer's price for that apartment without Quillwood's consent. No release of any lot will be made until the facility is repaid, other than for settlement at the agreed price.

7. Financial Analysis

7.1 Feasibility

The sponsor's feasibility, adjusted by Quillwood for consistency, is summarised below. All figures are exclusive of GST. The selling costs allowance of A$3.1M is approximately 2.5% of GRV and covers agent commissions, marketing, and settlement legal costs.

Item	A$M	Metric
Gross realisation value	124.8	A$1.30M per apartment
Less selling and settlement costs	(3.1)	2.5% of GRV
Net realisation	121.7	
Less total development cost	(100.0)	LTC 61.0%
Net profit before tax	21.7	21.7% on TDC; 17.4% on GRV

Table 5: Summary feasibility

The 21.7% margin on cost is above the 15% to 20% range that Quillwood typically requires for residential development lending, though the GRV is yet to be verified. The sponsor's margin buffers the facility only after the sponsor's equity, and equity is spent first. The facility is therefore well protected against a fall in sales values: the sponsor's equity of A$39.0M and the profit of A$21.7M together sit behind Quillwood's A$61.0M.

7.2 Presale cover and break-even

- Contracted presales: 60 apartments, A$78.0M, equal to 1.28 times the facility limit (1.25 times after 2.5% selling costs).
- Deposits in trust: A$7.8M, equal to 10.0% of presale value, and held until settlement.
- Break-even: net proceeds of A$61.0M require gross sales of about A$62.6M, or 50.1% of GRV, equal to about 49 apartments at the average price.
- Equity break-even: the GRV can fall about 17.8% (to approximately A$102.6M) before net proceeds fall below TDC and sponsor equity starts to be impaired.

7.3 Sensitivity analysis

The table below tests the effect of falls in sales values. The presales are fixed at their contract prices in the first four scenarios and a price fall is applied to unsold stock only. The last scenario assumes that all stock, including presold apartments that fail to settle and are resold, is realised at 25% below the sponsor's prices. Facility cover is net sale proceeds (after 2.5% selling costs) divided by the A$61.0M facility.

Scenario	GRV (A$M)	Net profit (A$M)	Facility cover
Base case	124.8	21.7	1.99x
Unsold stock 10% lower	120.1	17.1	1.92x
Unsold stock 20% lower	115.4	12.6	1.85x
Unsold stock 30% lower	110.8	8.0	1.77x
All stock 25% lower	93.6	(8.7)	1.50x

Table 6: Sensitivity of GRV, profit and facility cover

In every scenario, including the severe case in which the project makes a loss of A$8.7M, net sale proceeds exceed the facility. This reflects the equity cushion and the fact that facility repayment ranks ahead of the sponsor's return. The sensitivity does not allow for cost overruns, additional interest from delay, or the cost and time of a mortgagee in possession sale, any of which would reduce recoveries. The cover figures should therefore be read as indicators of resilience, not as forecasts of recovery in a default.

7.4 Interest cost and rate sensitivity

The sponsor has allowed A$5.7M for finance costs, which equals the Tranche B allowance. Quillwood's preliminary calculation, based on a back-weighted draw profile and an all-in rate of about 10.60%, suggests that interest, the establishment fee of A$1.07M and the line fee to practical completion would be of a similar order. Headroom for the settlement period and for any delay is limited. As a rough guide, each 100 basis point rise in BBSW across the construction period would add about A$0.4M to A$0.5M of interest. Increases in cost beyond Tranche B would have to be met by the sponsor in cash. The quantity surveyor and Quillwood's own model will confirm the interest allowance before the term sheet is issued. Quillwood will also consider requiring an interest rate hedge for a portion of the expected peak balance, if the Committee considers the rate risk to be material.

7.5 Sponsor financial position

The sponsor's audited financial statements (Marlowe Tan Chartered Accountants) are due on 23 February 2024 and management accounts on 20 March 2024. The analysis of group liquidity, contingent liabilities, commitments on its two other active projects and the net tangible assets of the guarantor are outstanding. The Committee should treat the sponsor's capacity to fund a cost overrun as unverified at this stage.

8. Key Risks and Mitigants

Risk	Rating	Principal mitigants
Construction cost and delay	High	Fixed-price D&C contract; 10% builder security; step-in deed; QS certification; contingency of at least A$1.5M; cost-to-complete test
Settlement risk on 36 unsold and 60 presold units	Medium to high	10.0% deposits in trust; presale cover covenant of 1.20x; 49 settlements repay the facility; buyer finance review
Market pricing (GRV A$1.30M average)	High	Independent valuation; LVR cap of 55%; 17.8% GRV buffer; release price floor
Interest rate and capitalised interest	Medium	Tranche B allowance; equity first; rate hedge consideration; extension of programme covered by covenant
Sponsor concentration	Medium	Guarantee and completion undertaking; independent director; sponsor liquidity diligence
Environmental and site	Medium	DWER compliance; ASS and groundwater management plans; environmental consultant sign-off

Table 7: Risk summary

8.1 Construction cost and delay

The fixed price limits cost exposure, but a builder insolvency or extensions of time could erode the contingency and push completion past the facility maturity in September 2026. The five months between forecast practical completion in April 2026 and maturity provides a buffer. Corvale's financial strength is yet to be assessed and is a key diligence item. Mitigants include security from the builder of A$7.46M, a step-in deed so that Quillwood can appoint a replacement builder, independent monthly progress certification by the quantity surveyor, and a cost-to-complete test applied before every drawdown, which requires the undrawn facility plus the available equity to be sufficient to complete the works. If the test fails, the sponsor must inject cash before further drawdowns are permitted.

8.2 Settlement risk

Thirty-seven and a half per cent of units by value remain unsold, and presale buyers may fail to settle if valuations come in below contract prices or if mortgage serviceability tightens before 2026. Settlements are about two years away, a long period in which buyer circumstances and lending policy may change. The presale book of A$78.0M exceeds the facility by A$17.0M, which allows for a significant level of default, and the deposits of 10.0% provide a financial disincentive to default and compensation if a buyer fails to settle. The facility is repaid once about 49 of the 60 presales have settled. Quillwood will review the presale contracts, the buyer profile, and the sales agent's evidence of buyer qualification, and will require a presale cover covenant to be maintained throughout the term, with defaulting contracts to be replaced or the shortfall met by the sponsor.

8.3 Market pricing

The GRV of A$124.8M assumes an average price of A$1.30M per unit, above recent East Fremantle apartment evidence, and a softer market would reduce proceeds on unsold stock. This is the principal uncertainty in the transaction. The 60 presales provide some support for the pricing, since they were agreed with arm's length buyers, and Quillwood will test whether the presales were achieved at a discount to list prices or with incentives. The valuation will be the primary independent evidence, and Quillwood will not issue the term sheet if the as-complete value does not support an LVR of 55% or lower. Table 6 shows that facility repayment is robust to significant falls in unsold stock prices.

8.4 Interest rate risk

The facility is floating rate and the capitalised interest allowance may be insufficient if BBSW stays elevated or programme delays extend the drawn period. If Tranche B is exhausted, interest must be paid in cash by the sponsor. A hedging requirement and a minimum liquidity covenant for the guarantor will be considered once the financial statements are received.

8.5 Sponsor concentration

Wharfside Developments has two other active projects, which may limit its capacity to provide further equity support if costs overrun. The guarantee and completion undertaking are only as valuable as the guarantor's liquid resources. Quillwood will request a schedule of the Group's commitments and a minimum liquidity and net asset covenant for the guarantor, to be set following review of the financial statements.

8.6 Environmental and site risk

The river-fronting location requires continued compliance with Department of Water and Environmental Regulation conditions, including acid sulfate soil and groundwater management during basement excavation. Two levels of basement are to be excavated near the water table. Quillwood will require copies of the geotechnical and environmental reports and the management plans, confirmation from an environmental consultant that the excavation methodology complies with the conditions, and evidence that the contract allocates dewatering and contamination risk to the builder. A Phase 1 environmental site assessment will be a condition precedent if not already available.

9. Proposed Covenants

Covenant	Requirement	Current position
Loan to GRV (as-complete valuation)	Not more than 55.0%	48.9% (sponsor GRV)
Loan to cost	Not more than 61.0% of QS-certified TDC	61.0%
Presale cover	Contracted presales not less than 1.20x facility limit	1.28x
Presale deposits	Not less than 10% of contract price, held in trust	10.0%
Cost-to-complete	Undrawn facility plus available equity not less than cost to complete	Tested monthly
Contingency	Not less than A$1.5M (2.0% of contract sum), confirmed by QS	To be confirmed
Practical completion	By 30 April 2026, long stop 30 June 2026	Forecast April 2026

Table 8: Financial and project covenants

9.1 Undertakings and information

- Monthly project reports with QS certification of progress claims, programme, cost to complete and variations.
- Monthly sales report, including new contracts, cancellations, default notices and settlement forecasts, plus quarterly updated valuations if requested by Quillwood.
- Annual audited financial statements of the Borrower and the guarantor within 120 days of year end and quarterly management accounts.
- No variations to the building contract above A$250,000 individually, or A$1.0M in aggregate, without Quillwood's consent.
- No changes to the approved plans, presale contracts or sales pricing outside agreed parameters.
- No distributions, repayment of sponsor loans or payment of development management fees until the facility is repaid in full.
- Compliance with all development approval conditions and DWER requirements, with prompt notice of any breach.

9.2 Events of default

Events of default will include non-payment, breach of financial covenants not remedied within 10 business days, insolvency of the Borrower, the guarantor or the builder, termination of the building contract, failure to achieve practical completion by the long stop date, loss or material alteration of the development approval, and a material adverse change. The default rate will be 2.00% per annum above the facility margin.

10. Conditions Precedent and Subsequent

10.1 Conditions precedent to the issue of the term sheet

- Receipt of the Kinross Hale valuation (due 8 March 2024) supporting an as-complete value that gives an LVR of not more than 55%.
- Receipt of the Pellegrini Dunmore quantity surveyor report (due 15 March 2024) confirming TDC of A$100.0M, the construction programme, the contingency and the cash flow, and the adequacy of the finance cost allowance.
- Receipt of the Wharfside Group financial statements (due 23 February 2024) and management accounts (due 20 March 2024), satisfactory to Quillwood.
- Solicitor's certificate evidencing 60 unconditional presale contracts totalling at least A$78.0M and deposits of A$7.8M in trust, by 29 February 2024.
- Satisfactory credit, financial and background checks on Corvale, the sponsor, the directors and the guarantor.

10.2 Conditions precedent to first drawdown

- Executed facility agreement, security documents, guarantees, direct deed with Corvale, sponsor loan subordination and collection account arrangements, with registration of the mortgage and security interests.
- Evidence that the full A$39.0M of sponsor equity has been spent on the project, verified by the quantity surveyor, and a clear title search with first ranking mortgage.
- Executed fixed-price design and construct contract, builder security of at least A$7.46M, collateral warranties, and the final approved plans and specifications.
- Evidence of all insurances with Quillwood noted, and of building and development approvals in full force.
- Environmental, geotechnical, acid sulfate soil and groundwater management plans and an environmental consultant's report, satisfactory to Quillwood.
- Payment of the establishment fee of A$1.07M, which may be deducted from the first drawdown.
- Legal opinions from Ashgrove Whitlam Lawyers and Quillwood's legal counsel covering capacity, execution and enforceability.
- Interest rate hedging in a form satisfactory to Quillwood, if required by the Committee.

10.3 Conditions subsequent

- Delivery of the presale contract review and a buyer finance summary within 30 days of financial close.
- Delivery of an updated valuation if requested by Quillwood, within 10 business days of the request.
- Delivery of the final certificate of occupancy and strata plan registration documents before the first settlement.

11. Due Diligence Status and Timetable

Item	Provider	Date	Status
Information memorandum	Tarrant & Lowe Capital Advisory	12 Feb 2024	Received
Sponsor financial statements	Marlowe Tan	23 Feb 2024	Awaited
Presale certificate	Ashgrove Whitlam Lawyers	29 Feb 2024	Awaited
Valuation	Kinross Hale Valuers	8 Mar 2024	Awaited
Quantity surveyor report	Pellegrini Dunmore	15 Mar 2024	Awaited
Management accounts	Wharfside Group	20 Mar 2024	Awaited
Indicative term sheet	Quillwood Credit Partners	12 Apr 2024	Subject to the above

Table 9: Diligence status and key dates

The expected path is for the Committee to approve in principle on 14 February 2024, for the third party reports to be reviewed by the deal team in March, and for an indicative term sheet to be issued on or about 12 April 2024 if the reports are satisfactory. Financial close and first drawdown are targeted for June 2024. If any report differs materially from the sponsor's information, the deal team will return to the Committee before issuing the term sheet.

12. Analyst and Approver Sign-off

The analyst confirms that the information in this paper has been compiled from the sponsor's Information Memorandum and Quillwood's own analysis, that figures not yet independently verified are identified as such, and that the recommendation is made in accordance with Quillwood's credit policy. The approvers below record their decision on the recommendation in Section 2.

Role	Name	Decision / Signature / Date
Prepared by: Senior Credit Analyst	Daniel Marchetti	
Reviewed by: Head of Real Estate Credit	Fiona Calloway	
Chief Risk Officer	Anthony Brereton	
Investment Committee Chair	Rosalind Hartnett	

Table 10: Sign-off block

Approval is in principle only, and subject to the conditions in Section 10 and the satisfactory completion of the third party reports. This paper is confidential and prepared for the internal use of Quillwood Credit Partners.